

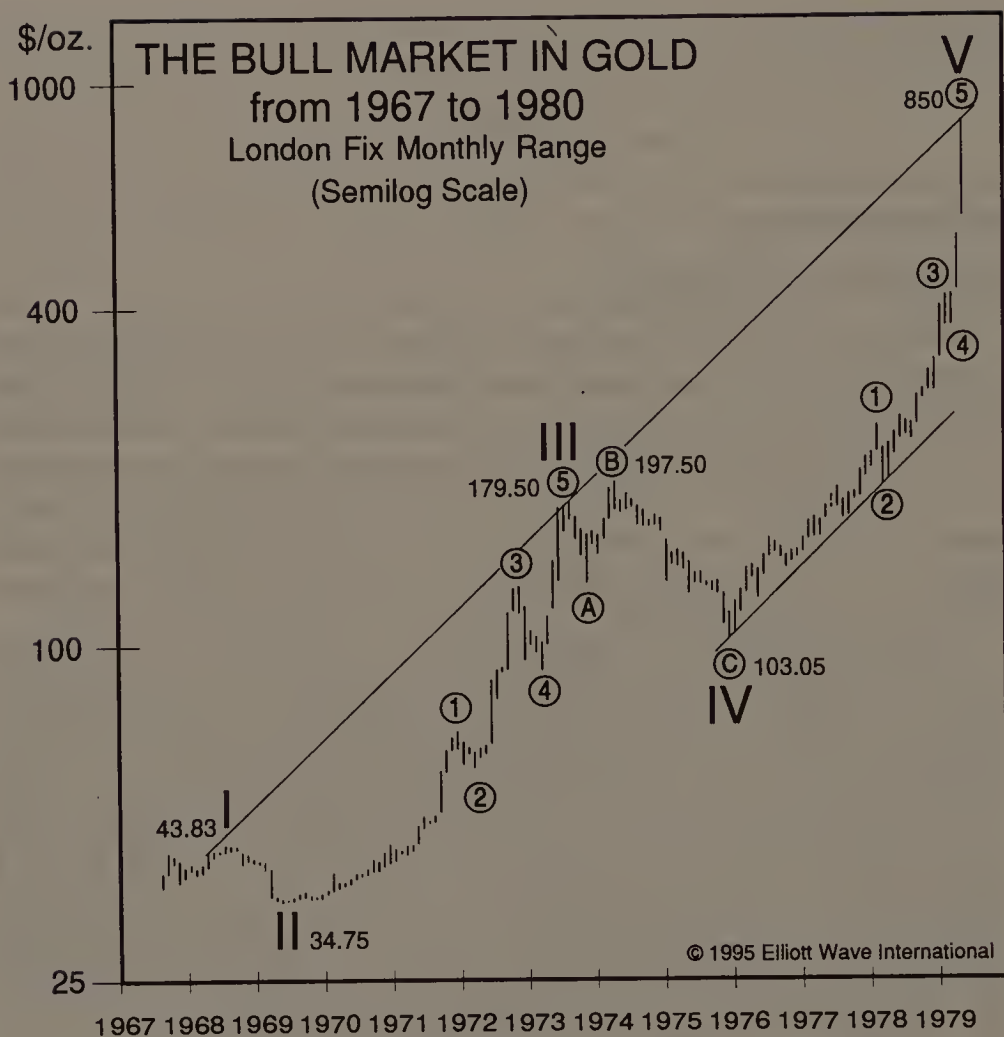


Figure 17-1

the frenzy. In 1985, gold reached a low of \$284.25 basis the London fix and \$281.20 basis the nearby futures contract, quite a precise meeting of the \$282.50 target. Though the call for “\$4 silver” in 1980 had appeared to most observers as lunacy, silver slid all the way to \$3.55 in February 1991 and double-bottomed at \$3.56 on March 9, 1993. These lows satisfied the Elliott Wave forecasts a Fibonacci 5 and a Fibonacci 13 years after the metals’ all-time highs.

The complex bear market pattern that has unfolded since the top has been a challenge, but at no time has the wave structure indicated the start of a new bull market. Appendix B of *Elliott Wave Principle* details *The Elliott Wave Theorist’s* price forecasts for the record-breaking drop of waves (A), (B) and (C) of W (see Figure 17-2 for reference). That entire drop is labeled wave W because it is the first part of a larger corrective pattern.